ONBOARDING POLICY

Subject: Onboarding Framework for Franchisees and District Distributors

Partner / Firm Name: _____ Contact Person: _____

District / Territory: _____ Phone: _____

Partnership Tier: ☐ Franchise ☐ District Distributor Date: _____

SECTION 1: PHASE 1 – PROBATION, VALIDATION & TRIAL INSTALLATION

Prior to entering into final commercial agreements, prospective partners must successfully complete the validation phase under the following conditions:

1.1 Device Installation Thresholds:

- **Franchise Tier:** A minimum commitment of 4 to 5 vehicle installations is required for technical evaluation.
- **District Distribution Tier:** A minimum commitment of 8 to 10 vehicle installations is required for technical evaluation.

1.2 **Logistics & Venue:** All initial trial installations must be conducted exclusively at the designated company facility in Hyderabad. Partners are responsible for all logistics regarding vehicle movement.

1.3 **Commercial Pricing:** All initial trial kits and installations will be billed at the standard retail customer price.

1.4 **Technical Failures & Reinstallation:** In the event that a vehicle is incompatible or does not respond to the device, the hardware may be uninstalled and reinstalled in an alternative vehicle.

1.5 **Device Refund & Cancellation Policy:** If a device must be permanently returned due to technical incompatibility, a refund will be issued to the partner. The final refund amount will be calculated after a mandatory deduction of ₹5,000 (Installation Charges), ₹2,000 (Spare Parts/Consumables), plus applicable GST.

1.6 **Evaluation Timeline:** A strict period of 15 days from the date of installation is allocated for comprehensive field testing and to conclude the final technical conformity of the device.

1.7 **Progression to Phase 2:** Transition to formal commercial discussions and long-term partnerships is contingent upon the partner's absolute satisfaction with the test results within the window defined in Clause 1.6.

SECTION 2: PHASE 2 – COMMERCIAL ROADMAP & VOLUME COMMITMENTS

Upon successful completion of Phase 1, partners will transition to a recurring commercial cycle governed by the targets and margins detailed below:

2.1 Tier Commitments & Margins

FRANCHISE TIER	
Minimum Monthly Purchase	**24 kits / month**
Markup Margin	**20% on base procurement price**

DISTRICT DISTRIBUTION TIER	
Minimum Monthly Purchase	**200 kits / month**
Markup Margin	**30% on base procurement price**

2.2 Supply Chain & Procurement Cycle

2.3 **Initial Distributor Buffer:** District Distributors must commit to a minimum volume of 600 kits total over the first 3 months (calculated as 200 kits x 3 months).

2.4 **Purchase Order (PO) Mandate:** Partners are strictly required to maintain a standardized, recurring monthly Purchase Order cycle.

2.5 **Fulfillment & Lead Time:** Inventory will be delivered within 30 days from the date of PO issuance. Orders will only be processed upon receipt of full advance payment.

SECTION 3: PERFORMANCE REVIEW, SCALING & TERRITORY CLAUSES

3.1 **Annual Volume Realignment:** In the 4th month of operations—based on the partner's performance, communication efficiency, and mutual understanding during the initial 90 days—both parties will evaluate the total vehicle capacity of the assigned district. An annual vehicle volume target will then be mutually defined.

3.2 **Target Derivation:** Subsequent monthly targets post-Month 3 will be derived directly from the annual volume benchmark established under Clause 3.1.

3.3 **Non-Performance Penalty (Territory Bifurcation):** If the Channel Partner fails to meet the monthly purchase commitments or breaches the operational timelines defined above, the company reserves the absolute right to divide the assigned district territory into two parts and allocate the unfulfilled territory to a third party.

For Neoplatron India Private Limited
Accepted & Agreed

Authorized Signatory | Date:

For Channel Partner
Authorized Signatory

Name & Signature | Date: